

## **Seniors United Now**

The Voice of Seniors in Alberta

January 30, 2023

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Subject: January 10, 2023 Zoom Meeting with AUPE Representatives;  
V.P. Susan Slade  
Mike Dempsey  
Liliana Cordeiro – Union Rep. – Pensions

Myself, Linda Osborne, Executive Director and Gerald Northam, Director greatly appreciated the opportunity to meet with representatives from AUPE. This helped us to better understand the issues from the pension board perspective, and also allowed us to explain some of the major concerns that seniors are raising about their pensions.

We believe that with a better level of understanding of the complete pension issue, we will be better able to converse with members when questions arise concerning their pension. There is an increasing concern being vocalized that retirees are not being treated fairly in the handling of their pensions.

V.P. Susan Slade suggested that we correspond with you and reiterate our concerns and discussions we had regarding pension retirees.

At this meeting, our opening remarks were to work together with them so that we can understand the duties of the pension board and also bring forward the concerns of the pension retirees.

We also acknowledged the benefits of defined pension plans and understood that pension board members primary function is to focus on the pension contributions made by the employers and employees. The actual retirees' concerns may not always be discussed or addressed and this is why we requested the meeting.

A brief overview was discussed on who these retirees are, their dedication to their employers and unions. As you are well aware many of them, through their unions fought for improvements that effected all workers in Alberta. Things such as improvements to the Alberta Labour code, pension plans, Alberta Health and Safety Act and Regulations, health benefits, pay and working conditions. Many of these retirees also took on the task of being a local area council representative or a job steward and participated in many other activities.

The two main topics that we discussed at length were **COLA** and **Coordinated pensions**.



## **COLA;**

In the LAPP news letter it states that over the past 3 years, members and employers benefited from a 2% reduction in their pension contributions. Considering the current pension surplus of \$15 Billion we are requesting that the retirees receive a similar 2% increase in their benefits. During their working years, many times their pension contribution rates increased to help eliminate an unfunded liability. In addition to this they were promised to receive 2% for each year worked based on their highest average of 5 years of earnings. Unfortunately, sometime around the mid to late 1990's this was reduced to 1.4%, which when they retired resulted in a reduction of 30% reduction in their pensions when they retired! With these incurred reductions, over time I think it also could have had an impact of creating the \$15 Billion surplus.

As it now stands, retirees receive 60% of COLA. At 60% this is one of the lowest pension provisions in Canada. Over the years this has contributed to reduced spending power of our retirees. C.P.P. provides increases of 100% as well as the postal workers. Even our Prime Minister recognizes that over the years the Old Age Pension benefit has not kept up to COLA and has provided a \$50 per month increase for pensioners over the age of 75.

In conclusion, we are requesting that COLA be placed on the agenda for your next Board meeting with the request to improve COLA which would improve the spending power of retirees.

## **Coordinated Pensions**

During Premier Kline's public employee layoffs, this program was implemented to assist them with increasing their income between the age of 55 – 65. At age 65 the retiree had their pension reduced to pay back that amount that they had received. It was explained to the retirees that this is just like paying back a loan and at age 72 the full payment will be made. However, it was not fully explained to some of them that if they live beyond age 72, deductions will still be taken from their pension cheques until the day that they die.

We have received feedback from many pensioners that this plan was not properly communicated to them and some of them have paid back, in some instances over \$150,000 over and above the original amount they received.

In a letter dated Oct, 2019, written by Phil Rivard, Vice President, Pension Policy and Funding LAPP Corporation, he states, "Given the number of individuals who have expressed difficulties understanding the impacts of Coordination, we are likely to make a recommendation to the Board to eliminate the Coordination feature of LAPP members who have yet to retire". Reading between the lines, Phil Rivard comments indicates to us that perhaps the roll out of the program had some deficient components, which their employers may have included not explaining the program properly, which led to the misunderstanding of the payback of this program.

As we are all aware, the coordination feature of this program is no longer offered. The coordination recovery plan for some retirees has been repaid in full, therefore the need for continued reduction until the pensioner has died must **not be continued**. We are suggesting a sunset clause be implemented at age 75 so that deductions will no longer be required.

In conclusion, two pension issues have reached a boiling point with the retirees and needs to be addressed as soon as possible. Please consider putting these two areas of concern onto your next Board meeting agenda for discussion and consideration.

If you would like to meet with us for further discussion, we are available at your convenience. We are looking forward to hearing from you regarding your Board deliberations.

Sincerely,

*W. Sorenson*

Wayne Sorenson - President  
Seniors United Now Society

c.c Susan Slade  
Mike Dempsey  
Liliana Cordeiro